

Session 1 — Introduction to Financial Planning

By the end of this session you must be able to explain why cash, not accounting profit, drives corporate survival; distinguish the cash budget, the financial budget and the financial plan by horizon, frequency and purpose; and build a cash budget by correctly separating accrual (accounting) events from cash events.

Plan

1. Why Cash and Planning Drive Value Creation
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1. Why Cash and Planning Drive Value Creation

1.1 The Role of Cash: The Toys "R" Us Case

Example — Toys "R" Us: a leveraged buyout in 2005 by Bain Capital, KKR and Vornado Realty Trust sharply increased financial leverage. The rise of e-commerce (Amazon) then intensified competitive pressure and shifted consumer behavior online. High indebtedness generated heavy financial charges that ate into operating cash flow, while the company still needed large resources to run its brick-and-mortar network and fund maintenance capex. Limited cash availability meant it could not adapt to the market shift or meet its debt obligations, and Toys "R" Us filed for Chapter 11 bankruptcy in 2017.

The lesson is structural, not anecdotal: profitability on paper is not sufficient if the company cannot generate and access enough cash to service debt and reinvest. Financial planning exists precisely to catch this gap before it becomes a solvency crisis.

1.2 Value Creation and the Three Equilibria

Value creation: the outcome of three simultaneous equilibria a firm must maintain — income statement equilibrium, balance sheet equilibrium, and cash flow statement equilibrium. A firm that is profitable (IS) but insolvent (BS) or cash-starved (CF) is not creating sustainable value.

Why should a firm target value creation rather than, say, market share or revenue growth? Four reasons given in the source: it is rational (value creation reflects the ability to grow and develop over the long term, unlike market share or revenue, which do not necessarily correlate with sustainable success); it is broadly accepted (it aligns with the interests of key stakeholders); it is sector- and lifecycle-agnostic (it applies regardless of industry or corporate life stage); and it is measurable (equity and enterprise valuation techniques exist to quantify it).

1.3 Why Firms Need a Business and Financial Plan

The business (industrial) plan simulates the company's overall future trajectory; the financial profile of that plan — the financial plan — tests whether the underlying business model is actually sustainable. The financial plan then identifies financial goals aligned with business strategy, since financial objectives and constraints are critical to managing business development. Beyond financing or restructuring, a financial plan embedded in a structured planning process serves several functions at once: it clarifies business content and feasibility, it moves the project

beyond the "idea" stage by testing realism and sustainability, it supports performance tracking (forecast vs actual), it acts as an internal management tool, and it facilitates communication and negotiation with financial markets (debt and equity providers).

2. Planning Under Uncertainty

2.1 The Uncertainty Context and Its Consequences

The World Uncertainty Index (WUI, built from the frequency of the term "uncertainty" in EIU quarterly country reports) has trended upward since 1990, with spikes tied to events such as the Gulf War, 9/11, the 2008 credit crunch, the European sovereign debt crisis, Brexit, COVID-19, the war in Ukraine, and the 2023 banking turmoil (SVB, Signature Bank, Credit Suisse). Per Bloomberg, these spikes are becoming both more frequent and higher in magnitude.

McKinsey (2024) identifies four consequences of this environment for corporate planning: greater volatility in results; larger discrepancies between forecasts and actuals; increased uncertainty and dispersion in indicators and scenarios; and more frequent revisions to estimates.

2.2 Six Practices to Improve FP&A Accuracy

McKinsey (2024, "Advanced FP&A practices for a volatile macroeconomic and business environment") lists six practices to make Financial Planning & Analysis more accurate under uncertainty.

- Use explicit probability values for all assumptions.** Build scenarios around clear probability estimates and assign a single model owner (ideally the Head of FP&A) to keep the model consistent.
- Build a "momentum case."** Start forecasts from a baseline "do-nothing" scenario, then layer management initiatives on top as building blocks. This improves accountability and sets realistic targets.
- Make the "bear case" explicit.** As the (attributed) line goes, "everyone has a plan until they get punched in the mouth." Including a plausible downside scenario helps the firm adjust assumptions as warning signals emerge and avoids decision paralysis.
- Ensure clarity and consistency in macro assumptions.** Use consistent, credible sources (e.g., GDP growth), prefer weighted averages of independent forecasts, and compare them against historical data.
- Disaggregate inflation rates.** Avoid a single blended CPI figure; model key cost components (raw materials, services) individually, and align cost-side and revenue-side inflation assumptions to avoid internal inconsistencies.
- Back test.** Regularly revise the model (e.g., weekly) by comparing forecasts against actuals.

3. The Financial Planning Toolkit: Cash Budget vs Financial Budget vs Financial Plan

The three tools differ systematically by structure, frequency, horizon, granularity, use and purpose:

	Cash Budget	Financial Budget	Financial Plan
Structure	Cash inflows and outflows	BS – IS – CF statements	BS – IS – CF statements
Frequency	Monthly / Weekly	Annual / Quarterly	Annual
Horizon	Short term (6 months–1 year)	Medium term (1 year)	Medium-long term (3, 5 or 7 years)

	Cash Budget	Financial Budget	Financial Plan
Granularity	High	Medium-high	Medium-low
Use	Treasury and liquidity management	Operational and investment budgeting	Strategic and financial planning
Purpose	Ensure solvency and manage cash	Align resources with goals and monitor performance	Support long-term vision and assess funding needs

The three sit on a continuum: the cash budget is the finest-grained, shortest-horizon tool built for treasury survival; the financial plan is the coarsest-grained, longest-horizon tool built to support strategic decisions and demonstrate funding needs to external stakeholders.

4. Building a Cash Budget: Logic and Step-by-Step Construction

Cash budget: a forecast of periodic cash balances (typically monthly or weekly) used to plan for funding needs or the deployment of a potential cash surplus.

4.1 Why Cost/Revenue $\neq$ Cash Inflow/Outflow

The core logic is to translate accounting (accrual-based) events into cash flows: an inflow is recorded when a revenue or an asset transforms into cash; an outflow is recorded when a cost or a liability transforms into cash. Costs and revenues differ from cash outflows and inflows for three reasons: a timing mismatch between accrual accounting and cash accounting (e.g., a sale recognized this month may be collected next quarter); non-monetary events (e.g., depreciation, which reduces accounting profit without any cash movement); and events that sit entirely outside the income statement (e.g., loan repayments, which move cash but never appear as a cost).

4.2 The Three-Step Build Process and Cash Budget Structure

1. Forecast the sources of cash — the largest source is usually payments from the firm's own customers.
2. Forecast the uses of cash.
3. Calculate whether the firm faces a cash shortage or a cash surplus for the period, and use that result to draw up a plan for raising or investing cash.

Cash (EOP) = Cash (BOP) + (Sources of cash – Uses of cash) + Financial income (charges) on the cash balance

where:

- BOP = cash balance at the beginning of the period; EOP = cash balance at the end of the period (the EOP of one month becomes the BOP of the next).
- Sources of cash – Uses of cash = the change in cash balance for the period.
- Financial income (charges) = interest earned on a positive balance or interest charged on a negative one, added in the same line.
- The budget is normally laid out with one column per month (Jan ... Dec), applying this identity period by period.

5. Sources and Uses of Cash

5.1 Sources of Cash

- **Operating activities:** cash sales; collections of prior-year trade receivables.
- **Investing activities:** sale of property, plant and equipment; sale of securities and equity stakes; sale of intangible assets.
- **Financing activities:** proceeds from paid-in capital increases; bond or loan issuance.
- **Other activities:** interest income; dividend income; royalties; rental and ancillary income.

5.2 Uses of Cash

- **Operating activities:** cash purchases; payments for prior-period purchases; salaries, payroll taxes and employee benefits; utilities, rent, leasing and production costs; sales expenses (commissions, promotions, transport); taxes.
- **Investing activities:** purchase of PPE; purchase of securities and equity stakes; purchase of intangible assets.
- **Financing activities:** interest payments; loan repayments; dividend payments.
- **Other activities.**

Every cash budget line item should be traceable back to one of these four activity buckets on either the source or the use side — this is the checklist to run through when building or auditing a budget from scratch.

6. Applying the Cash Budget: The Clank IPO Case

Example — Clank S.p.A.: Clank is an Italian ICT consulting company serving B2B clients in gaming, telecommunications and defense, pursuing a stock exchange listing. Ahead of the IPO it must demonstrate short-term financial sustainability — i.e., its ability to generate sufficient cash over the next 12 months on a pre-money basis — so its advisor (McCarthy & Co.) must build a cash budget plus pro forma income statement, balance sheet and cash flow statement, and flag any cash issues with proposed solutions. The case is a direct illustration of the accrual-vs-cash gap from Section 4.1: monthly revenue (resources per category × average monthly hours × utilization rate × fee per category) is recognized when invoiced, but only 70% of it is actually collected 90 days later and 30% after 120 days — a textbook timing mismatch. Costs mirror this: materials/consumables (~0.3% of monthly revenue) and service costs are both paid 30 days after purchase; lease and rental costs (€10,000/month) and other opex (€1,840/month) are paid monthly with no lag. Capex adds a further layer of complexity: €150,000 for a new CRM platform is expansion capex (not maintenance), paid in an uneven schedule (10% in May, 50% in September, 20% in October, 20% in November) with only €22,500 of annual depreciation — a case of a large cash outflow with a much smaller accounting-cost footprint. Taxes (€270,000) are spread over five monthly installments (June–October) and a bank loan is repaid monthly (€6,766, principal + interest). If the resulting cash balance goes negative, an overdraft facility (limit €90,000) charges 1% monthly interest, billed quarterly, with no interest earned on positive balances.

Watch out: the case references numeric input tables (Tables 1–5, e.g. headcount by category, hourly fees, utilization rates) that live in a companion Excel file, not in the extracted text — so the actual month-by-month cash balance and whether Clank hits a shortfall cannot be computed from this note alone. Know the mechanics (timing mismatches, lumpy capex, seasonal tax payments, overdraft cost) rather than a specific numeric answer.

7. Common Mistakes & Exam Traps

- Treating accounting profit and cash as interchangeable — always ask which of the three reasons (timing mismatch, non-monetary event, event outside the income statement) explains a given cost/revenue vs cash gap.
- Confusing the three planning tools — mixing up which one is monthly/weekly (cash budget) vs annual/quarterly (financial budget) vs the 3–7 year strategic tool (financial plan), or forgetting their different purposes (solvency vs resource alignment vs long-term funding needs).
- Forgetting that the largest source of cash is normally customer collections, not financing activity — don't default to "raise debt" as the first lever in a cash-shortage scenario.
- Omitting the financial income/charges line when rolling BOP into EOP, or forgetting that BOP of month t = EOP of month $t-1$.
- On value-creation questions, substituting market share or revenue growth for the three-equilibria definition — the source explicitly says these do not necessarily correlate with sustainable success.
- In uncertainty-planning questions, confusing the "momentum case" (baseline do-nothing forecast + initiatives layered on top) with the "bear case" (explicit downside scenario) — they serve different purposes.
- In Clank-style questions, forgetting that expansion capex (like the CRM platform) hits cash on its own payment schedule well before it shows up as depreciation on the income statement.

8. Must Know Absolutely

Must know:

- Cash budget purpose: forecast periodic cash balances to plan funding needs or surplus use.
- 3-step build: forecast sources of cash, forecast uses of cash, compute shortage/surplus.
- Identity: $\text{Cash(EOP)} = \text{Cash(BOP)} + (\text{Sources} - \text{Uses}) + \text{Financial income/charges}$.
- Cost/revenue $\neq$ cash flow because of timing mismatch, non-monetary events, and events outside the IS (e.g. loan repayments).
- Cash Budget = ST/monthly/treasury; Financial Budget = MT/annual-quarterly/operations; Financial Plan = LT/annual/strategy & funding.
- Value creation = income statement + balance sheet + cash flow statement equilibria together.
- Under uncertainty: use probability-weighted scenarios, a momentum case, an explicit bear case, consistent macro assumptions, disaggregated inflation, and weekly back-testing.
- Largest cash source is typically customer collections.

Watch Out

Watch out: the World Uncertainty Index chart and the McKinsey exhibit are visual graphics in the original slides; the extracted text preserves only event labels (Gulf War, 9/11, Brexit, COVID-19, etc.), not the underlying index values — know the trend and drivers, not exact numbers.

Watch out: Clank's numeric input tables (headcount, hourly fees, utilization rates) sit in a companion Excel file not captured in the extracted text — only the qualitative mechanics of the case are covered here.

Watch out: the in-slide "Quick Test" scenario (lengthening collection period + rising commercial expenses) has no stated correct answer in the source, unlike the quick tests in Session 3. Per the no-MCQ format of this sheet it has been left out; the relevant underlying logic — that a firm facing a slower collection period should

look first at renegotiating short-term credit lines or adjusting payment terms, not at cutting dividends or fixed-asset investment — is covered qualitatively in Sections 4–6.